



COMMON DEBT TRAPS

As our look at the people in our stories has demonstrated, a common thread in most of their experiences was the lack of thorough planning. Sometimes this flaw is amplified by ignorance, imprudence, or indulgence, but without some kind of financial plan (budget) most couples won't realize they have a problem until it overwhelms them.

Many people think they live on a budget because they record the amount of the checks written, dutifully write down debit card uses, keep track of online bill payments, and even balance their checking accounts by regularly viewing activity online.

That is not a budget. A budget balances income and expenses and reports on the status of those each month. I'm not going to discuss the subject of budgeting here, because I have done so in several previous books, including a thorough plan outlined in *The Family Financial Workbook*. (Be sure to take advantage of the Resources section in the back of this book.) Instead, I am going to discuss some of the more common ways couples get into debt.